

Highland Computer Forms, Inc.

Financial Statements and Supplementary Information
December 31, 2025 and 2024
with Independent Accountants' Review Report

TABLE OF CONTENTS

Independent Accountants' Review Report.....	1
Financial Statements:	
Balance Sheets.....	2-3
Statements of Income.....	4
Statements of Changes in Stockholders' Equity	5
Statements of Cash Flows.....	6
Notes to the Financial Statements.....	7-11
Supplementary Information:	
Schedules of Cost of Goods Sold.....	12
Schedules of Operating Expenses	13
Divisional Balance Sheet – Current Year	14-15
Divisional Income Statement – Current Year	16
Divisional Schedule of Cost of Goods Sold – Current Year	17
Divisional Schedule of Operating Expenses – Current Year.....	18
Divisional Balance Sheet – Prior Year.....	19-20
Divisional Income Statement – Prior Year.....	21
Divisional Schedule of Cost of Goods Sold – Prior Year.....	22
Divisional Schedule of Operating Expenses – Prior Year	23



INDEPENDENT ACCOUNTANTS' REVIEW REPORT

Stockholders
Highland Computer Forms, Inc.
Hillsboro, Ohio

We have reviewed the accompanying financial statements of Highland Computer Forms, Inc. (a Corporation), which comprise the balance sheets as of December 31, 2025 and 2024, and the related statements of income, changes in stockholders' equity, and cash flows for the years then ended, and the related notes to the financial statements. A review includes primarily applying analytical procedures to management's financial data and making inquiries of company management. A review is substantially less in scope than an audit, the objective of which is the expression of an opinion regarding the financial statements as a whole. Accordingly, we do not express such an opinion.

Management's Responsibility for the Financial Statements

Management is responsible for the preparation and fair presentation of the financial statements in accordance with accounting principles generally accepted in the United States of America; this includes the design, implementation, and maintenance of internal control relevant to the preparation and fair presentation of the financial statements that are free from material misstatement whether due to fraud or error.

Accountants' Responsibility

Our responsibility is to conduct the review engagements in accordance with Statements on Standards for Accounting and Review Services promulgated by the Accounting and Review Services Committee of the AICPA. Those standards require us to perform procedures to obtain limited assurance as a basis for reporting whether we are aware of any material modifications that should be made to the financial statements for them to be in accordance with accounting principles generally accepted in the United States of America. We believe that the results of our procedures provide a reasonable basis for our conclusion.

We are required to be independent of Highland Computer Forms, Inc. and to meet our other ethical responsibilities, in accordance with the relevant ethical requirements related to our review.

Accountants' Conclusion

Based on our reviews, we are not aware of any material modifications that should be made to the accompanying financial statements in order for them to be in accordance with accounting principles generally accepted in the United States of America.

Supplementary Information

The supplementary information included on pages 12 - 23 is presented for purposes of additional analysis and is not a required part of the basic financial statements. Such information is the responsibility of management and was derived from, and relates directly to, the underlying accounting and other records used to prepare the financial statements. The supplementary information has been subjected to the review procedures applied in our review of the basic financial statements. We are not aware of any material modifications that should be made to the supplementary information. We have not audited the supplementary information and do not express an opinion on such information.

Clark, Schaefer, Hackett & Co.

Columbus, Ohio
April 24, 2026

Highland Computer Forms, Inc.
Balance Sheets
December 31, 2025 and 2024

Assets

	<u>2025</u>	<u>2024</u>
Current assets:		
Cash and cash equivalents	\$ 326,060	308,732
Certificates of deposit	312,916	300,000
Accounts receivable, trade	688,870	608,466
Accounts receivable, other	30,879	8,193
Inventories, net	1,239,901	1,021,535
Prepaid expenses	<u>12,631</u>	<u>5,961</u>
	<u>2,611,257</u>	<u>2,252,887</u>
Property, plant and equipment:		
Land	100,000	100,000
Buildings	500,000	500,000
Leasehold improvements	1,143,406	1,143,406
Machinery and equipment	6,801,540	6,759,705
Vehicles	149,313	149,313
Furniture, fixtures and office equipment	<u>231,112</u>	<u>231,112</u>
	8,925,371	8,883,536
Less accumulated depreciation	<u>7,360,588</u>	<u>7,125,015</u>
	<u>1,564,783</u>	<u>1,758,521</u>
Other assets:		
Goodwill	10,000	10,000
Deposits	<u>500</u>	<u>500</u>
	<u>10,500</u>	<u>10,500</u>
	<u>\$ 4,186,540</u>	<u>4,021,908</u>

See independent accountants' review report and notes to the financial statements.

Highland Computer Forms, Inc.
Balance Sheets (continued)
December 31, 2025 and 2024

Liabilities and Stockholders' Equity

	<u>2025</u>	<u>2024</u>
Current liabilities:		
Long-term debt, current portion	\$ 22,707	15,885
Note payable, affiliate	193,786	193,786
Accounts payable, trade	451,708	281,913
Accrued payroll and related costs	191,940	237,167
Accrued real estate taxes	<u>48,476</u>	<u>43,283</u>
	<u>908,617</u>	<u>772,034</u>
Long-term debt:		
Long-term debt, net of current portion	<u>304,972</u>	<u>399,222</u>
Stockholders' equity:		
Common stock, 500 shares authorized, 499 shares issued and outstanding	1,000	1,000
Additional paid-in capital	549,000	549,000
Retained earnings	<u>2,422,951</u>	<u>2,300,652</u>
	<u>2,972,951</u>	<u>2,850,652</u>
	<u>\$ 4,186,540</u>	<u>4,021,908</u>

See independent accountants' review report and notes to the financial statements.

Highland Computer Forms, Inc.
Statements of Income
Years Ended December 31, 2025 and 2024

	<u>2025</u>	<u>2024</u>
Sales, net	\$ 8,880,504	9,225,145
Other income	<u>125,545</u>	<u>126,021</u>
Net revenue	9,006,049	9,351,166
Cost of goods sold	<u>7,397,518</u>	<u>8,063,253</u>
Gross profit	1,608,531	1,287,913
Operating expenses	<u>1,470,901</u>	<u>1,420,825</u>
Income (loss) from operations	<u>137,630</u>	<u>(132,912)</u>
Other income (expense):		
Interest income	16,553	7
Interest expense	(31,884)	(19,149)
Gain on disposal of fixed assets	<u>-</u>	<u>2,667</u>
	<u>(15,331)</u>	<u>(16,475)</u>
Net income (loss)	\$ <u><u>122,299</u></u>	<u><u>(149,387)</u></u>

See independent accountants' review report and notes to the financial statements.

Highland Computer Forms, Inc.
Statements of Changes in Stockholders' Equity
Years Ended December 31, 2025 and 2024

	<u>Common Stock</u>	<u>Additional Paid-In Capital</u>	<u>Retained Earnings</u>	<u>Total</u>
Balance, January 1, 2024	\$ 1,000	549,000	2,532,052	3,082,052
Distributions	-	-	(82,013)	(82,013)
Net loss	<u>-</u>	<u>-</u>	<u>(149,387)</u>	<u>(149,387)</u>
Balance, December 31, 2024	1,000	549,000	2,300,652	2,850,652
Net income	<u>-</u>	<u>-</u>	<u>122,299</u>	<u>122,299</u>
Balance, December 31, 2025	\$ <u>1,000</u>	<u>549,000</u>	<u>2,422,951</u>	<u>2,972,951</u>

See independent accountants' review report and notes to the financial statements.

Highland Computer Forms, Inc.
Statements of Cash Flows
Years Ended December 31, 2025 and 2024

	<u>2025</u>	<u>2024</u>
Cash flows from operating activities:		
Net income (loss)	\$ 122,299	(149,387)
Adjustments to reconcile net income (loss) to net cash from operating activities:		
Depreciation and amortization	235,573	243,966
Provision for doubtful accounts	6,597	50,879
Provision for obsolete inventory	46,829	-
Gain on disposal of fixed assets	-	(2,667)
Effects of changes in assets and liabilities:		
Accounts receivable, trade	(87,001)	340,209
Accounts receivable, other	(22,686)	-
Inventories	(265,195)	75,026
Prepaid expenses	(6,670)	5,883
Accounts payable	169,795	(2,482)
Accrued expenses	(40,034)	(135,994)
Customer deposits	-	(202,140)
Net cash from operating activities	<u>159,507</u>	<u>223,293</u>
Cash flows from investing activities:		
Proceeds from sale of property and equipment	-	2,667
Purchase of property and equipment	(41,835)	(129,571)
Purchase of certificates of deposit	(12,916)	(300,000)
Net change in deposits	-	9,509
Net cash used in investing activities	<u>(54,751)</u>	<u>(417,395)</u>
Cash flows from financing activities:		
Principal payments on long-term debt	(87,428)	(18,817)
Payments on lease obligations	-	(3,001)
Distributions	-	(82,013)
Net cash used in financing activities	<u>(87,428)</u>	<u>(103,831)</u>
Increase (decrease) in cash and cash equivalents	17,328	(297,933)
Cash and cash equivalents, beginning of year	308,732	606,665
Cash and cash equivalents, end of year	\$ <u>326,060</u>	<u>308,732</u>
Supplemental disclosure of cash flow information:		
Cash paid for interest	\$ <u>31,884</u>	<u>19,149</u>

See independent accountants' review report and notes to the financial statements.

1. SUMMARY OF SIGNIFICANT ACCOUNTING POLICIES:

The following accounting principles and practices of the Company are set forth to facilitate the understanding of data presented in the financial statements:

Company Activities

Highland Computer Forms, Inc. (Company) is a manufacturer of single and multiple part continuous computer paper and business forms. The Company operates manufacturing plants in Ohio and Indiana. The HCF Division operations consist of the manufacture of paper and the G. Fordyce Division consists of the sale of industrial printing equipment.

Use of Estimates

The preparation of these financial statements in conformity with accounting principles generally accepted in the United States of America requires management to make estimates and assumptions that affect the reported amounts of assets and liabilities and disclosure of contingent liabilities at the date of the financial statements and reported amounts of revenues and expenses during the reporting period. Actual results could differ from those estimates.

Reclassifications

Certain amounts in the prior year financial statements have been reclassified to conform to the current year presentation. Such reclassifications had no effect on previously reported net loss, stockholders' equity, or cash flows.

Cash and Cash Equivalents

The Company considers all highly liquid investments with an original maturity of three months or less when purchased to be cash equivalents.

Certificates of Deposit

Certificates of deposit are shown at the original amount deposited plus accrued interest, which approximates fair value because of the short-term nature of these deposits.

Accounts Receivable and Allowance for Credit Losses

Accounts receivable are uncollateralized customer obligations due under normal trade terms. The Company does not assess interest on past-due accounts. Accounts receivable balances are charged off against the allowance for credit losses after recovery efforts have ceased. Management has reviewed the Company's accounts receivable and determined that expected credit losses are not material.

The Company estimates expected credit losses using historical loss experience adjusted for current conditions and reasonable and supportable forecasts. Management has elected the practical expedient to assume that current conditions as of the balance sheet date will remain unchanged through collection of outstanding receivables and to consider subsequent collection activity in estimating expected credit losses. Based on this evaluation, management determined that expected credit losses were not material as of December 31, 2025.

Inventories

Inventories of raw material and supplies are valued at the lower of net realizable value or cost as determined under the first-in, first-out method (FIFO). Production runs of the various forms produced by the Company are generally of short duration; therefore, the Company does not capture, or price, in-process inventories. Inventories of finished goods are valued at a fixed percentage of Company's current distributors' price by product. The Company's management is of the opinion that this method approximates the fully burdened cost of the inventory on a FIFO basis.

Finished goods inventories are valued using a standard cost method designed to approximate fully burdened FIFO cost. Management periodically evaluates the relationship between standard costs and actual costs and adjusts standards, when necessary, to ensure inventories are stated at the lower of cost or net realizable value.

Inventories are adjusted for estimated excess and obsolete items based upon assumptions about future demand and market conditions when necessary.

Goodwill

Goodwill is recognized for the excess of the purchase price over the fair value of tangible and identifiable intangible net assets of businesses acquired. Goodwill reflected on the balance sheets represents the cost of purchased goodwill related to the acquisition of Pummill Business Forms, Inc. in 2010. Generally accepted accounting principles require that the unamortized value of purchased goodwill be evaluated annually to determine whether the amount reported on the balance sheets as an asset has been impaired. In management's opinion, there has been no impairment to the value of recorded goodwill during the years ended December 31, 2025 and 2024.

Property, Plant, Equipment and Depreciation

Property and equipment are carried on the balance sheets at cost. Provisions for depreciation deducted in the statements of income were computed using the straight-line method. Routine maintenance and repairs and minor replacement costs are charged to expense as incurred. The undepreciated cost of equipment sold, net of related proceeds, is included in other income (expense).

Estimated useful lives of property and equipment are as follows:

	<u>Years</u>
Buildings	40
Leasehold improvements	5 - 40
Machinery and equipment	5 - 20
Vehicles	3 - 5
Furniture, fixtures, and office equipment	7 - 10

Revenue Recognition

The Company derives its revenues primarily from the sale of computer forms and other paper products. Revenues are recognized when control of these products is transferred to its customers at a point in time, in an amount that reflects the consideration the Company expects to be entitled to in exchange for those products and services. Sales and other taxes the Company collects concurrently with revenue-producing activities are excluded from revenue. Shipping and handling fees charged to customers are reported within revenue. Incidental items that are immaterial in the context of the contract are recognized as expenses. The Company does not have any significant financing components as payment is received at

or shortly after the point of sale. Costs incurred to obtain a contract will be expensed as incurred when the amortization period is less than a year.

Leases

The Company considers an arrangement a lease if, at inception, the arrangement transfers the right to control the use of an identified asset for a period of time in exchange for consideration. Control is defined under ASC 842 as having both the right to obtain substantially all of the economic benefits from use of the asset and the right to direct the use of the asset. Management only reassesses its determination if the terms and conditions of the contract are changed.

The lease term reflects the non-cancelable period of the lease together with periods covered by an option to extend or terminate the lease when management is reasonably certain that it will exercise such option. The Company uses the risk-free rate for a period of time similar to the lease term, determined at the lease commencement date, in determining the present value of lease payments. The risk-free rate is used because the information necessary to determine the rate implicit in the lease and the Company's incremental borrowing rate is not readily available. Lease expense for operating leases is recognized on a straight-line basis over the lease term. Short-term leases are less than one year without purchase or renewal options that are reasonably certain to be exercised and are recognized on a straight-line basis over the lease term.

Income Taxes

The Company with the consent of its stockholders, elected to be an S Corporation for both federal and state tax purposes. Accordingly, no provision for income taxes has been reflected in these financial statements as the stockholders of the S Corporation are taxed on their proportionate share of the Company's taxable income.

Subsequent Events

The Company evaluates events and transactions occurring subsequent to the date of the financial statements for matters requiring recognition or disclosure in the financial statements. The accompanying financial statements consider events through April 24, 2026, the date on which the financial statements were available to be issued.

2. INVENTORIES:

The following summarizes the Company's inventories at December 31:

	<u>2025</u>	<u>2024</u>
Raw materials	\$ 1,021,250	715,024
Finished goods	203,836	226,314
Other	61,644	80,197
Provision for inventory obsolescence	<u>(46,829)</u>	<u>-</u>
	<u>\$ 1,239,901</u>	<u>1,021,535</u>

3. LINE OF CREDIT:

The Company has available a revolving line of credit, as amended, with a maximum borrowing limit of \$700,000. Interest on the credit line is payable monthly at prime plus 1.00% (7.75% and 8.50% as of December 31, 2025 and 2024, respectively). The line of credit is secured by virtually all Company assets

and personal guaranties of the Company's stockholders. There were no outstanding borrowings on the line as of December 31, 2025 and 2024. The line matures in December 2026.

4. LONG-TERM DEBT:

The Company's long-term debt outstanding at December 31 consisted of a \$500,000 note payable in monthly installments of \$3,846 and \$3,163 including interest at 7.38%, and 4.50% as of December 31, 2025 and 2024, respectively. Variable interest rate resets began in February 2025 and occur every 60 months based on the U.S. 5 Year Treasury Securities, plus a fixed rate of 3.00%. During the year ending December 31, 2025, the Company began monthly, principal-only, payments ranging from \$2,000 to \$9,000 in addition to monthly installments. The Company is reasonably certain that monthly, principal-only, payments will continue to be made until the outstanding principal balance of the note is paid.

Future maturities of long-term debt are as follows:

2026	\$ 22,707
2027	24,249
2028	26,066
2029	28,143
2030	30,321
Thereafter	<u>196,193</u>
	\$ <u>327,679</u>

5. LEASES:

The Company leases certain real estate and office equipment. The Company's lease agreements do not contain any material residual value guarantees or material restrictive covenants. Variable lease payments are excluded from the right-of-use asset and lease liabilities and are expensed as incurred.

Finance and Operating Right-of-Use Assets

The Company's finance lease consisted of an agreement to lease office equipment through IBM lease company. The lease provided for monthly lease payments of \$754 and expired in April 2024. Leased equipment was returned upon expiration. The Company's operating lease consisted of an agreement to lease office space in Iowa from ND 25 W Park Building LLC. The lease provided for monthly lease payments of \$1,273 and expired in June 2024.

For the year ended December 31, 2024, the Company had the following recorded in operating expenses associated with lease arrangements:

	<u>2024</u>
Finance lease cost:	
Amortization of right-of-use assets	\$ 3,001
Interest on lease liabilities	\$ 63
Operating lease expense	\$ 7,635
Other information:	
Weighted-average discount rate – finance leases	4.00%
Weighted-average discount rate – operating leases	4.00%

See independent accountants' review report.

Related Party and Short-Term Operating Leases

The Company is obligated under an agreement to lease a manufacturing facility and office space in Ohio from Fordyce Acquisition Group (owned by certain officers and employees of the Company). The lease is on a twelve-month basis and provides for monthly rentals of \$3,300 and automatic renewal for twelve months until canceled. There were no accounts payable to Fordyce as of December 31, 2025 and 2024, respectively. Rent expense under this lease amounted to \$39,600 for the years ended December 31, 2025 and 2024.

The Company is obligated under an agreement to lease a manufacturing facility and office space in Indiana with a former shareholder of the Company. The lease is on a twelve-month basis and provides for monthly rentals of \$8,000 and automatic renewal for twelve months until canceled. Rent expense under this lease amounted to \$96,000 for the years ended December 31, 2025 and 2024.

6. NOTE-PAYABLE, AFFILIATE

The Company has a note payable to an affiliated partnership through prior common ownership. The balance of the note arose through payments financed due to unpaid lease payments. The note bears no rate of interest, is unsecured and is due upon demand. The balance of the note payable amounted to \$193,786 on December 31, 2025 and 2024.

7. RETIREMENT PLAN:

The Company has a savings and retirement plan under Section 401(k) of the Internal Revenue Code. The plan allows employees to defer up to the maximum percentage of compensation and dollar amount permissible under section 402(g) of the IRC not to exceed the limits of applicable code sections. The Company, at management's discretion, may also contribute to the Plan. The total charge against income for the Company's discretionary contributions to the plan was \$75,140 and \$75,678 during the years ended December 31, 2025 and 2024, respectively.

8. CONCENTRATIONS:

The Company maintains its cash accounts in financial institutions where balances may have exceeded Federal Deposit Insurance Corporation (FDIC) limits at various times during the years ended December 31, 2025 and 2024. The Company has not experienced any losses on such accounts.

Sales to two customers were approximately 22% of total sales during the year ended December 31, 2025. Accounts receivable from one customer were approximately 24% of total accounts receivable as of December 31, 2025.

Payables to two vendors were approximately 43% of accounts payable as of December 31, 2025.

9. SELF-FUNDED HEALTH INSURANCE PLAN:

An estimate of medical claims for services rendered prior to year-end and future claims due to conditions that existed at year-end has been included in accrued payroll and related costs in the accompanying balance sheets and is based upon historical data. Such estimates have been developed from actual claims paid prior to year-end, adjusted for incurred but not received factors based on the historical claims data.

Highland Computer Forms, Inc.
Schedules of Cost of Goods Sold
Years Ended December 31, 2025 and 2024

	<u>2025</u>	<u>2024</u>
Beginning inventories	\$ 1,021,535	1,096,561
Purchases and other costs:		
Paper	3,408,695	3,692,358
Production and collator wages	1,038,129	1,049,527
Indirect labor	486,589	523,378
Health insurance	436,125	383,282
Supplies	313,759	328,289
Buyouts and outside purchases	235,439	276,518
Supervisors' salaries	297,193	301,099
Utilities	289,868	238,882
Payroll taxes	200,715	200,385
Cartons	160,443	180,668
Lease	134,277	166,575
Equipment depreciation	160,722	166,471
Repairs and maintenance	169,586	152,408
Plates and negatives	126,210	134,081
Shipping wages	120,598	119,383
Ink	64,635	94,918
Retirement plan expenses	53,604	53,479
Envelopes	29,437	31,056
Carbon products	1,375	6,961
Vehicle depreciation	4,384	4,385
Copy paper	-	2,773
Materials	7,685	1,901
Truck expenses	135	82
Inventory obsolescence	46,829	-
Net freight expense	332	(25,983)
Purchase discounts	<u>(170,880)</u>	<u>(94,649)</u>
Total goods available for sale	8,637,419	9,084,788
Less ending inventories	<u>(1,239,901)</u>	<u>(1,021,535)</u>
Cost of goods sold	\$ <u><u>7,397,518</u></u>	<u><u>8,063,253</u></u>

See independent accountants' review report.

Highland Computer Forms, Inc.
Schedules of Operating Expenses
Years Ended December 31, 2025 and 2024

	<u>2025</u>	<u>2024</u>
Office salaries	\$ 682,921	575,317
Insurance	160,790	146,115
Administrative salaries	129,211	128,935
Professional fees	85,592	90,099
Depreciation	70,467	73,110
Bad debt expense	6,597	50,879
General taxes	54,835	46,939
Caretaking expenses	53,893	46,071
Payroll taxes	41,164	43,462
Bank and payroll service charges	43,459	43,033
Office repairs and maintenance	29,691	42,669
Travel and entertainment	18,953	29,319
Telephone and internet	24,328	28,373
Retirement plan expenses	21,536	22,199
Office supplies	22,341	21,693
Employee relations	5,430	11,149
Advertising	7,823	10,995
Postage	3,671	4,270
Selling expenses	505	1,753
Charitable contributions	1,000	1,500
Training and education	4,290	1,425
Dues and subscriptions	177	265
Miscellaneous expenses	<u>2,227</u>	<u>1,255</u>
	\$ <u>1,470,901</u>	<u>1,420,825</u>

See independent accountants' review report.

Highland Computer Forms, Inc.
Divisional Balance Sheets
December 31, 2025

Assets

	HCF Division	G. Fordyce Division	Eliminating Entries	Total
Current assets:				
Cash and cash equivalents	\$ 254,337	71,723	-	326,060
Certificates of deposit	312,916	-	-	312,916
Accounts receivable, trade	674,696	14,174	-	688,870
Accounts receivable, other	40,085	-	(9,206)	30,879
Inventories, net	1,239,901	-	-	1,239,901
Prepaid expenses	12,631	-	-	12,631
	<u>2,534,566</u>	<u>85,897</u>	<u>(9,206)</u>	<u>2,611,257</u>
Property, plant and equipment:				
Land	100,000	-	-	100,000
Buildings	500,000	-	-	500,000
Leasehold improvements	1,078,356	65,050	-	1,143,406
Machinery and equipment	6,801,540	-	-	6,801,540
Vehicles	149,313	-	-	149,313
Furniture, fixtures and office equipment	231,112	-	-	231,112
	<u>8,860,321</u>	<u>65,050</u>	<u>-</u>	<u>8,925,371</u>
Less accumulated depreciation	<u>7,339,665</u>	<u>20,923</u>	<u>-</u>	<u>7,360,588</u>
	<u>1,520,656</u>	<u>44,127</u>	<u>-</u>	<u>1,564,783</u>
Other assets:				
Goodwill	10,000	-	-	10,000
Deposits	500	-	-	500
	<u>10,500</u>	<u>-</u>	<u>-</u>	<u>10,500</u>
	<u>\$ 4,065,722</u>	<u>130,024</u>	<u>(9,206)</u>	<u>4,186,540</u>

See independent accountants' review report.

Liabilities and Stockholders' Equity

	HCF Division	G. Fordyce Division	Eliminating Entries	Total
Current liabilities:				
Long-term debt, current portion	\$ 22,707	-	-	22,707
Note payable, affiliate	193,786	-	-	193,786
Accounts payable, trade	451,708	9,206	(9,206)	451,708
Accrued payroll and related costs	191,940	-	-	191,940
Accrued real estate taxes	48,476	-	-	48,476
	<u>908,617</u>	<u>9,206</u>	<u>(9,206)</u>	<u>908,617</u>
Long-term debt:				
Long-term debt, net of current portion	304,972	-	-	304,972
Stockholders' equity:				
Common stock	1,000	-	-	1,000
Additional paid-in capital	549,000	-	-	549,000
Retained earnings	2,302,133	120,818	-	2,422,951
	<u>2,852,133</u>	<u>120,818</u>	<u>-</u>	<u>2,972,951</u>
	<u>\$ 4,065,722</u>	<u>130,024</u>	<u>(9,206)</u>	<u>4,186,540</u>

Highland Computer Forms, Inc.
Divisional Income Statements
Year ended December 31, 2025

	<u>HCF Division</u>	<u>G. Fordyce Division</u>	<u>Eliminating Entries</u>	<u>Total</u>
Sales, net	\$ 8,533,432	347,072	-	8,880,504
Other income	<u>125,545</u>	<u>-</u>	<u>-</u>	<u>125,545</u>
Net revenue	8,658,977	347,072	-	9,006,049
Cost of goods sold	<u>7,105,543</u>	<u>291,975</u>	<u>-</u>	<u>7,397,518</u>
Gross profit	1,553,434	55,097	-	1,608,531
Operating expenses	<u>1,456,558</u>	<u>14,343</u>	<u>-</u>	<u>1,470,901</u>
Income from operations	<u>96,876</u>	<u>40,754</u>	<u>-</u>	<u>137,630</u>
Other income (expense):				
Interest income	16,553	-	-	16,553
Interest expense	(31,884)	-	-	(31,884)
Gain on disposal of fixed assets	<u>-</u>	<u>-</u>	<u>-</u>	<u>-</u>
	<u>(15,331)</u>	<u>-</u>	<u>-</u>	<u>(15,331)</u>
Net income	<u>\$ 81,545</u>	<u>40,754</u>	<u>-</u>	<u>122,299</u>

See independent accountants' review report.

Highland Computer Forms, Inc.
Divisional Schedules of Cost of Goods Sold
Year ended December 31, 2025

	HCF Division	G. Fordyce Division	Eliminating Entries	Total
Beginning inventories	\$ 1,021,535	-	-	1,021,535
Purchases and other costs:				
Paper	3,408,695	-	-	3,408,695
Production and collator wages	964,599	73,530	-	1,038,129
Indirect labor	486,589	-	-	486,589
Health insurance	436,125	-	-	436,125
Supplies	308,812	4,947	-	313,759
Buyouts and outside purchases	48,537	186,902	-	235,439
Supervisors' salaries	297,193	-	-	297,193
Utilities	289,868	-	-	289,868
Payroll taxes	200,715	-	-	200,715
Cartons	160,443	-	-	160,443
Lease	124,677	9,600	-	134,277
Equipment depreciation	160,722	-	-	160,722
Repairs and maintenance	166,308	3,278	-	169,586
Plates and negatives	126,210	-	-	126,210
Shipping wages	120,598	-	-	120,598
Ink	64,635	-	-	64,635
Retirement plan expenses	53,604	-	-	53,604
Envelopes	29,437	-	-	29,437
Carbon products	1,375	-	-	1,375
Vehicle depreciation	4,384	-	-	4,384
Materials	-	7,685	-	7,685
Truck expenses	135	-	-	135
Inventory obsolescence	46,829	-	-	46,829
Net freight (income) expense	(5,884)	6,216	-	332
Purchase discounts and returns	(170,697)	(183)	-	(170,880)
Total goods available for sale	8,345,444	291,975	-	8,637,419
Less ending inventories	(1,239,901)	-	-	(1,239,901)
Cost of goods sold	\$ <u>7,105,543</u>	<u>291,975</u>	<u>-</u>	<u>7,397,518</u>

See independent accountants' review report.

Highland Computer Forms, Inc.
Divisional Schedules of Operating Expenses
Year ended December 31, 2025

	HCF Division	G. Fordyce Division	Eliminating Entries	Total
Office salaries	\$ 682,921	-	-	682,921
Insurance	160,790	-	-	160,790
Administrative salaries	129,211	-	-	129,211
Professional fees	85,592	-	-	85,592
Depreciation	63,962	6,505	-	70,467
Bad debt expense	6,597	-	-	6,597
General taxes	54,835	-	-	54,835
Caretaking expenses	53,893	-	-	53,893
Payroll taxes	41,164	-	-	41,164
Bank and payroll service charges	43,303	156	-	43,459
Office repairs and maintenance	29,691	-	-	29,691
Travel and entertainment	15,274	3,679	-	18,953
Telephone and internet	24,328	-	-	24,328
Retirement plan expenses	21,536	-	-	21,536
Office supplies	21,002	1,339	-	22,341
Employee relations	5,430	-	-	5,430
Advertising	7,823	-	-	7,823
Postage	3,405	266	-	3,671
Selling expenses	505	-	-	505
Charitable contributions	1,000	-	-	1,000
Training and education	4,290	-	-	4,290
Miscellaneous expenses	-	2,227	-	2,227
Dues and subscriptions	6	171	-	177
	<u>\$ 1,456,558</u>	<u>14,343</u>	<u>-</u>	<u>1,470,901</u>

See independent accountants' review report.

Highland Computer Forms, Inc.
Divisional Balance Sheets
December 31, 2024

Assets

	HCF Division	G. Fordyce Division	Eliminating Entries	Total
Current assets:				
Cash and cash equivalents	\$ 286,933	21,799	-	308,732
Certificates of deposit	300,000			300,000
Accounts receivable, trade	600,833	15,236	(7,603)	608,466
Accounts receivable, other	8,193	-	-	8,193
Inventories	1,021,535	-	-	1,021,535
Prepaid expenses	5,961	-	-	5,961
	<u>2,223,455</u>	<u>37,035</u>	<u>(7,603)</u>	<u>2,252,887</u>
Property, plant and equipment:				
Land	100,000	-	-	100,000
Buildings	500,000	-	-	500,000
Leasehold improvements	1,078,356	65,050	-	1,143,406
Machinery and equipment	6,759,705	-	-	6,759,705
Vehicles	149,313	-	-	149,313
Furniture, fixtures and office equipment	231,112	-	-	231,112
	<u>8,818,486</u>	<u>65,050</u>	<u>-</u>	<u>8,883,536</u>
Less accumulated depreciation	<u>7,110,597</u>	<u>14,418</u>	<u>-</u>	<u>7,125,015</u>
	<u>1,707,889</u>	<u>50,632</u>	<u>-</u>	<u>1,758,521</u>
Other assets:				
Goodwill	10,000	-	-	10,000
Deposits	500	-	-	500
	<u>10,500</u>	<u>-</u>	<u>-</u>	<u>10,500</u>
	<u>\$ 3,941,844</u>	<u>87,667</u>	<u>(7,603)</u>	<u>4,021,908</u>

See independent accountants' review report.

Liabilities and Stockholders' Equity

	HCF Division	G. Fordyce Division	Eliminating Entries	Total
Current liabilities:				
Long-term debt, current portion	\$ 15,885	-	-	15,885
Note payable, affiliate	193,786	-	-	193,786
Accounts payable, trade	281,913	7,603	(7,603)	281,913
Accrued payroll and related costs	237,167	-	-	237,167
Accrued real estate taxes	43,283	-	-	43,283
	<u>772,034</u>	<u>7,603</u>	<u>(7,603)</u>	<u>772,034</u>
Long-term debt:				
Long-term debt, net of current portion	399,222	-	-	399,222
Stockholders' equity:				
Common stock	1,000	-	-	1,000
Additional paid-in capital	549,000	-	-	549,000
Retained earnings	2,220,588	80,064	-	2,300,652
	<u>2,770,588</u>	<u>80,064</u>	<u>-</u>	<u>2,850,652</u>
	<u>\$ 3,941,844</u>	<u>87,667</u>	<u>(7,603)</u>	<u>4,021,908</u>

Highland Computer Forms, Inc.
Divisional Income Statements
Year ended December 31, 2024

	HCF Division	G. Fordyce Division	Eliminating Entries	Total
Sales, net	\$ 8,855,077	370,068	-	9,225,145
Other income	<u>126,021</u>	<u>-</u>	<u>-</u>	<u>126,021</u>
Total revenues	8,981,098	370,068	-	9,351,166
Cost of goods sold	<u>7,709,431</u>	<u>353,822</u>	<u>-</u>	<u>8,063,253</u>
Gross profit	1,271,667	16,246	-	1,287,913
Operating expenses	<u>1,405,438</u>	<u>15,387</u>	<u>-</u>	<u>1,420,825</u>
Income (loss) from operations	<u>(133,771)</u>	<u>859</u>	<u>-</u>	<u>(132,912)</u>
Other income (expense):				
Interest income	7	-	-	7
Interest expense	(19,149)	-	-	(19,149)
Gain on disposal of fixed assets	<u>2,667</u>	<u>-</u>	<u>-</u>	<u>2,667</u>
	<u>(16,475)</u>	<u>-</u>	<u>-</u>	<u>(16,475)</u>
Net income (loss)	\$ <u>(150,246)</u>	<u>859</u>	<u>-</u>	<u>(149,387)</u>

See independent accountants' review report.

Highland Computer Forms, Inc.
Divisional Schedules of Cost of Goods Sold
Year ended December 31, 2024

	HCF Division	G. Fordyce Division	Eliminating Entries	Total
Beginning inventories	\$ 1,051,427	45,134	-	1,096,561
Purchases and other costs:				
Paper	3,692,358	-	-	3,692,358
Production and collator wages	965,420	84,107	-	1,049,527
Indirect labor	523,378	-	-	523,378
Health insurance	383,282	-	-	383,282
Supplies	327,826	463	-	328,289
Buyouts and outside purchases	69,427	207,091	-	276,518
Supervisors' salaries	300,119	980	-	301,099
Utilities	238,882	-	-	238,882
Payroll taxes	200,385	-	-	200,385
Cartons	180,668	-	-	180,668
Lease	156,975	9,600	-	166,575
Equipment depreciation	166,471	-	-	166,471
Repairs and maintenance	152,408	-	-	152,408
Plates and negatives	134,081	-	-	134,081
Shipping wages	119,383	-	-	119,383
Ink	94,918	-	-	94,918
Retirement plan expenses	53,479	-	-	53,479
Envelopes	31,056	-	-	31,056
Carbon products	6,961	-	-	6,961
Vehicle depreciation	4,385	-	-	4,385
Copy paper	2,773	-	-	2,773
Materials	-	1,901	-	1,901
Truck expenses	82	-	-	82
Net freight expense	(30,775)	4,792	-	(25,983)
Purchase discounts	(94,403)	(246)	-	(94,649)
Total goods available for sale	8,730,966	353,822	-	9,084,788
Less ending inventories	(1,021,535)	-	-	(1,021,535)
Cost of goods sold	\$ <u>7,709,431</u>	<u>353,822</u>	<u>-</u>	<u>8,063,253</u>

See independent accountants' review report.

Highland Computer Forms, Inc.
Divisional Schedules of Operating Expenses
Year ended December 31, 2024

	HCF Division	G. Fordyce Division	Eliminating Entries	Total
Office salaries	\$ 575,317	-	-	575,317
Insurance	146,115	-	-	146,115
Administrative salaries	128,935	-	-	128,935
Professional fees	90,099	-	-	90,099
Depreciation	66,605	6,505	-	73,110
Caretaking expenses	46,071	-	-	46,071
General taxes	46,939	-	-	46,939
Payroll taxes	43,462	-	-	43,462
Travel and entertainment	23,822	5,497	-	29,319
Bank and payroll service charges	42,997	36	-	43,033
Office supplies	20,600	1,093	-	21,693
Telephone and internet	28,373	-	-	28,373
Office repairs and maintenance	42,669	-	-	42,669
Retirement plan expenses	22,199	-	-	22,199
Advertising	10,995	-	-	10,995
Selling expenses	1,753	-	-	1,753
Employee relations	10,599	550	-	11,149
Charitable contributions	1,500	-	-	1,500
Postage	4,009	261	-	4,270
Bad debt expense	50,879	-	-	50,879
Training and education	1,425	-	-	1,425
Dues and subscriptions	99	166	-	265
Miscellaneous expenses	(24)	1,279	-	1,255
	<u>\$ 1,405,438</u>	<u>15,387</u>	<u>-</u>	<u>1,420,825</u>

See independent accountants' review report.

